

IMARTICUS LEARNING

ASSET MANAGEMENT - MUTUAL FUNDS



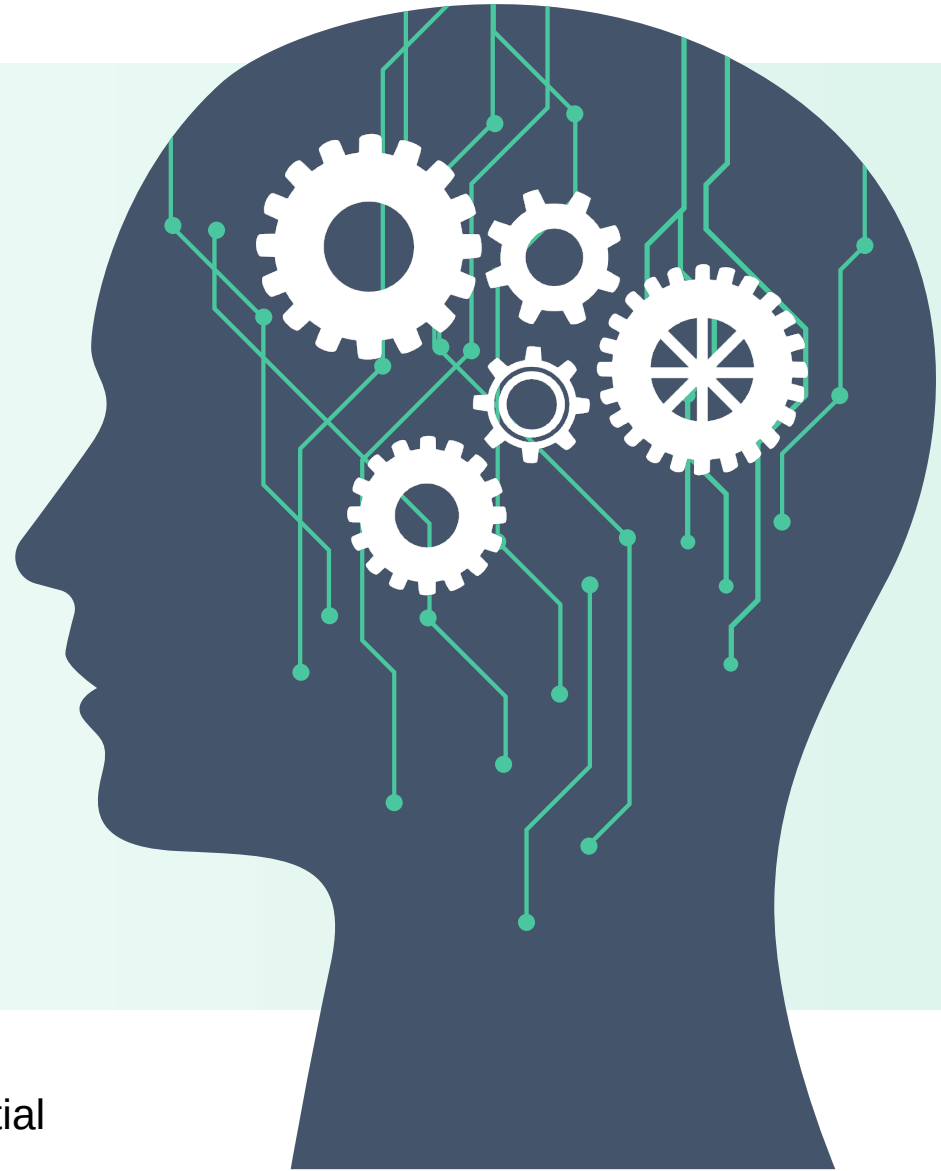
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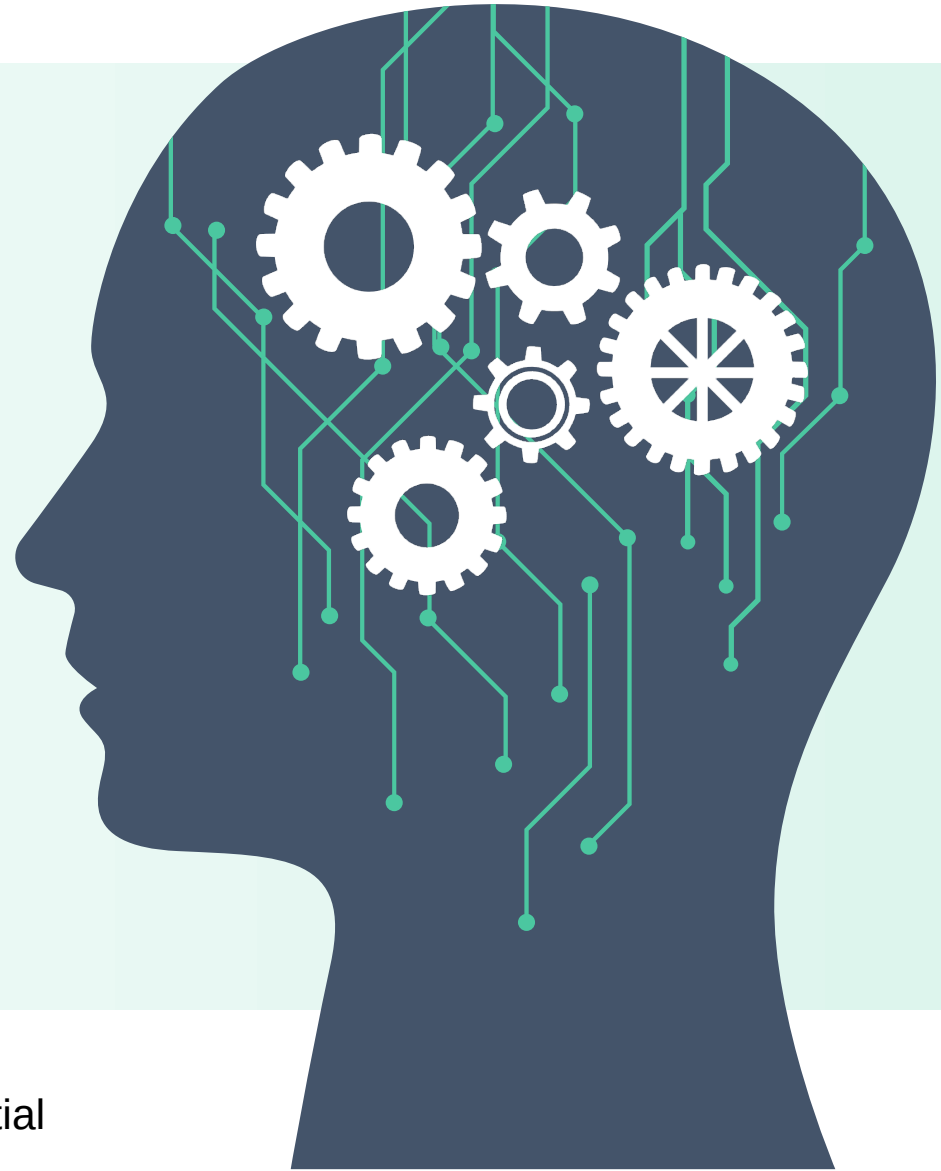
YOU ARE GOING TO LEARN…

- Introduction to Asset Management
- Asset Allocation Strategy
- Types of AMCS
- Types of Investors
- Mutual Funds Concept



YOU ARE GOING TO LEARN…

- Global Mutual Fund Houses
- Importance of Mutual Funds
- Types of Mutual Funds
- Costs Associated with Mutual Funds
- Risks involved in Mutual Funds
- Suitability Factors of Mutual Funds Investment

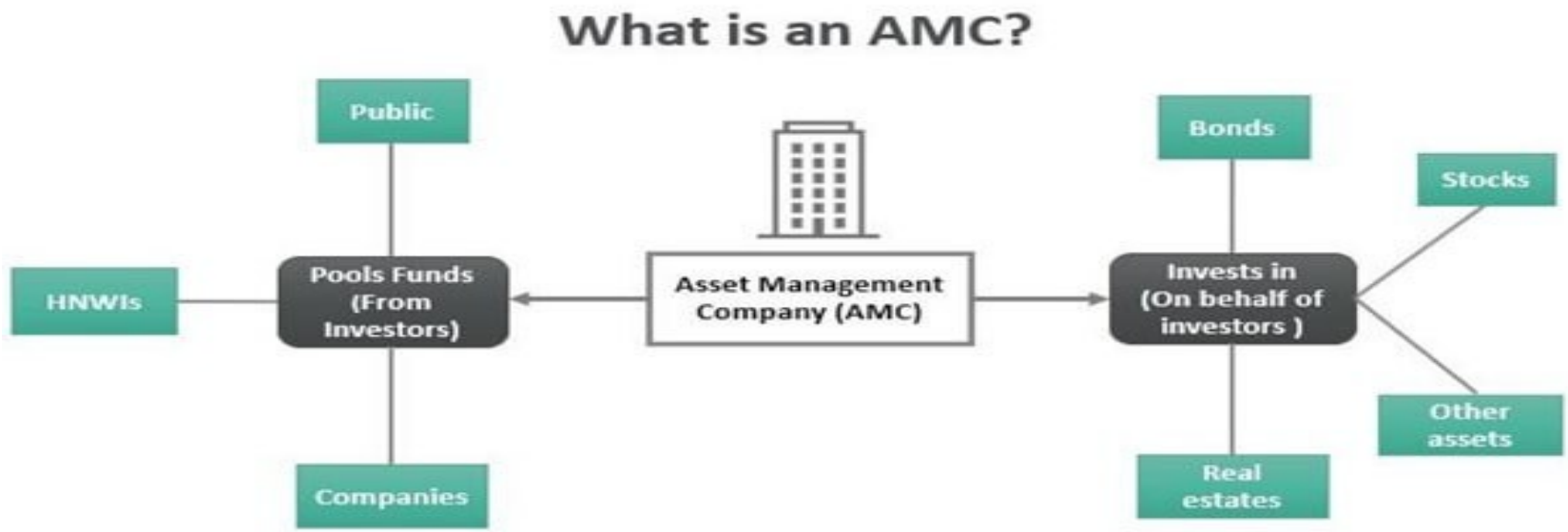


ASSET MANAGEMENT COMPANIES (AMC)

AMC is a financial institution that manages and invests pooled funds from clients in various securities such as stocks, bonds, real estate, and other assets.

Functions of the AMC

Portfolio Management	**Research and Analysis**
Risk Management	**Diversification**



ASSET MANAGEMENT

- Asset management is the professional management of various securities and assets to meet specified investment goals for the benefit of the investors.
- The asset class definitions differ, but four common divisions are stocks, bonds, real estate, and commodities.
- The primary objective is to diversify the risks for investors by allocating the funds across different asset classes, provide a long-term return to the investors, and professional management of funds.
- Asset management is often used to refer to the management of investment funds, while the more generic term fund management may refer to all forms of institutional investment, as well as investment management for private investors.
- Investment management on behalf of private investors is often referred to as private banking and wealth management.

Asset Management

What Type of Assets?

- Securities like shares, bonds, and other securities
- Assets like real estate

Who are the Investors?

Individuals or entity who commit capital with the expectation of a return

Asset Allocation

Long-term Returns

Diversification

TYPES OF AMCS

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Several different types of financial institutions fall within the scope of the description collective investment Schemes (CIS).

- Investment Funds
- Mutual Funds
- Unit Trusts
- Money Market Funds
- Alternative Funds
- Feeder/master funds, umbrella funds/sub-funds, funds of funds
- Hedge Funds
- Property and Real Estate Funds
- Distressed Funds
- Private Equity Funds
- Professional Investor Funds
- Variable Capital Companies

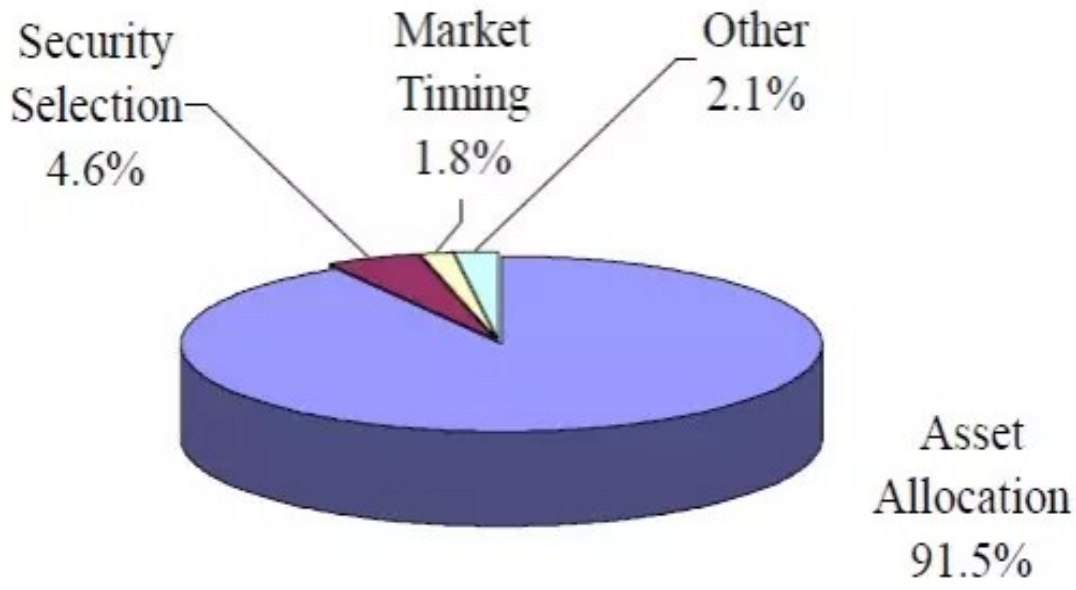
Hedge funds, Private Equity Funds are considered as Alternative Investments

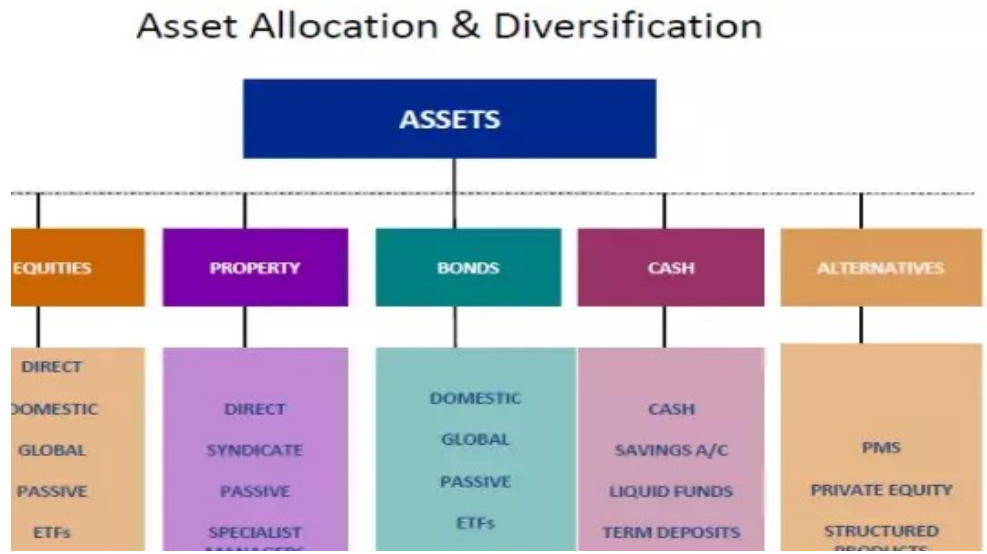


Asset Allocation Concepts

ASSET ALLOCATION

Asset allocation is the key driver of long-term investment performance.





Other aspects of investing such as market timing and security selection have a much lower contribution to long-term investment performance

ASSET ALLOCATION

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Risk vs Reward

The reward for taking on risk is the potential for a greater investment return. If you have a financial goal with a long time horizon, you are likely to make more money by carefully investing in asset categories with greater risk

Investment Choices

A vast array of investment products exists - including stocks and stock mutual funds, corporate and municipal bonds, bond mutual funds, lifecycle funds, exchange-traded funds, money market funds, and U.S. Treasury securities

The Magic of Diversification

The practice of spreading money among different investments to reduce risk is known as diversification
By picking the right group of investments, you may be able to limit your losses and reduce the fluctuations of investment returns without sacrificing too much potential gain

ASSET ALLOCATION

- A diversified portfolio should be diversified at two levels: *between* asset categories and *within* asset categories.
- In addition to allocating investments among stocks, bonds, cash equivalents, and other asset categories, also need to spread out investments within each asset category.

Changing the asset allocation

- Most common reason for changing asset allocation is a change in time horizon.
- As you get closer to the investment goal, likely need to change the asset allocation.
- For example, most people investing for retirement hold less stock and more bonds and cash equivalents as they get closer to retirement age.
- May also need to change your asset allocation if there is a change in the risk tolerance, financial situation, or the financial goal itself.

Rebalancing

- Rebalancing is bringing the portfolio back to the original asset allocation mix.
- Necessary because over time some of the investments may become out of alignment with investment goals.
- Some of your investments will grow faster than others.
- Rebalancing will ensure that the portfolio does not overemphasize one or more asset categories, and return the portfolio to a comfortable level of risk.

Rebalance your portfolio based either on the calendar or on new investments



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Investors & Types

INVESTORS AND FUND MANAGERS

- An investment fund is a pooling of funds belonging to numerous investors and such collective funds are used to purchase securities. Each investor retains ownership and control of his/her part of the shares or units in the collective fund.
- The business of investment has several facets, the employment of professional fund managers, research (of individual assets and asset classes), dealing, settlement, marketing, internal auditing, and the preparation of reports for clients.
- An investment fund provides a broader selection of investment opportunities, diversification of risks, greater management expertise, and lower investment fees. Types of investment funds include mutual funds, exchange-traded funds, money market funds, hedge funds, alternate funds, etc.



Investors

Investors can mention which assets they don't want to participate in Hedge Fund and Private Equity case as these are Accredited investors and have say on there money what is getting invested.

Simply choose a fund based on its goals, risk, fees, and others



Fund Managers

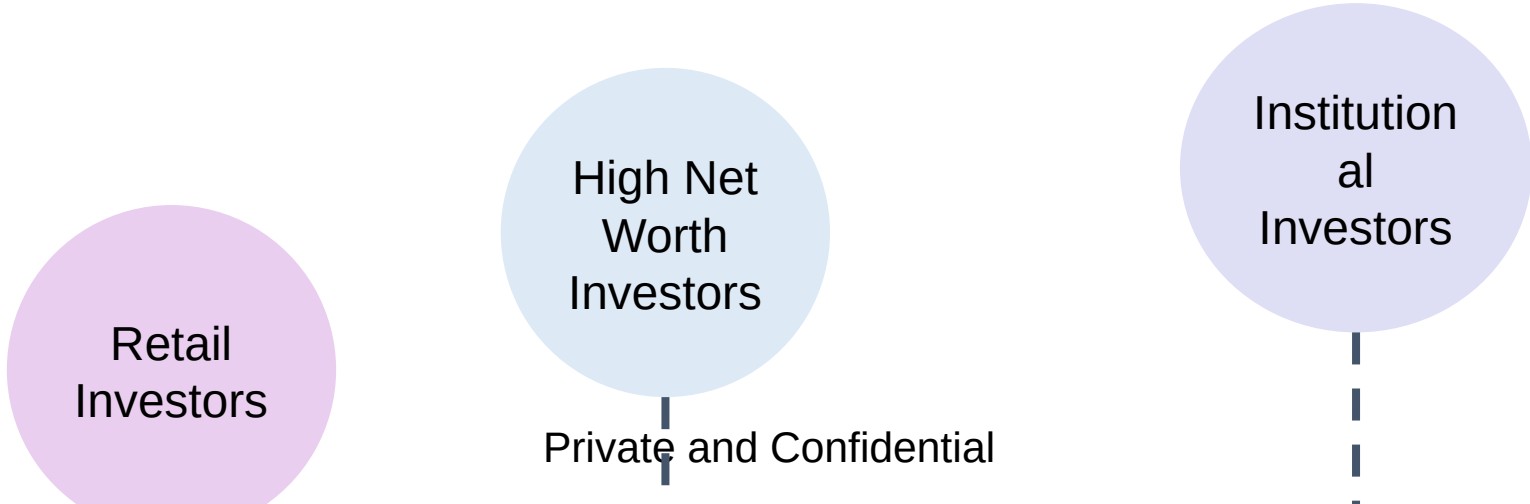
Oversee the fund and decide:

- Which securities it should hold
- In what quantities
- When the securities should be bought and sold

TYPES OF INVESTORS

Types of Investors

1. **Individual Investors –** Invest mostly in Mutual Funds, ETF etc
2. **Accredited investors -** Groups such as charities, organizations, corporations, etc. with total assets in excess of $5 million
3. **Institutional Investors** represent large pools of assets for government pension funds, corporate pension funds, endowments, and foundations. Estimates suggest they represent almost three-quarters of the Assets Under Management (AUM) in Europe and the US.
4. **High Net Worth Investors -** A classification used by the financial services industry to denote an individual or a family with high net worth. The most commonly quoted figure for membership in the high net worth 'club' is $1 million in liquid financial assets.
5. **Retail Investors** typically trade in much smaller amounts than institutional investors. Normally invest in mutual funds and pensions and superannuation schemes.



INSTITUTIONAL ASSET MANAGERS

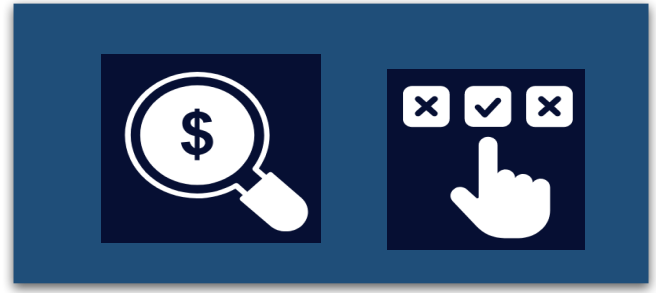
Institutional asset managers consist largely of collective investment vehicles, pension funds, and insurance companies.



These entities construct and maintain investment portfolios on behalf of their customers, both individual investors and companies.



Institutional investor will have different trading strategies and invest in different types of asset



Advantage of professional research, traders, and portfolio managers guiding their decisions



Family Offices

FAMILY OFFICE – INTRODUCTION

1. Family offices are private wealth management advisory firms that serve Ultra-High-Net-Worth (UHNW) investors. They are different from traditional wealth management shops, in that they offer a total outsourced solution to managing the financial and investment side of an affluent individual or family.

2. The ideal candidates for establishing a single-family structure are families with a private wealth of more than $150m.

3. A multi-family office may be created when multiple wealthy families share some common values or goals and want to consolidate and leverage resources. However, these families might not necessarily be related to each other.

Single-family office



Multi-family office



For a private office of a family of significant wealth, the ideal candidates for establishing a single-family structure are families with a private wealth of more than $150m.

Multiple wealthy families share some common values or goals and want to consolidate and leverage resources. These families might not necessarily be related to each other.

FAMILY OFFICES – INVESTMENT STRATEGY

Family offices can often diversify their assets very broadly, much more than institutional investors can, due to the number of assets under management. Family offices are also generally better able to think and invest on a more long-term basis and they primarily pursue wealth preservation to pass on assets to the next generations.

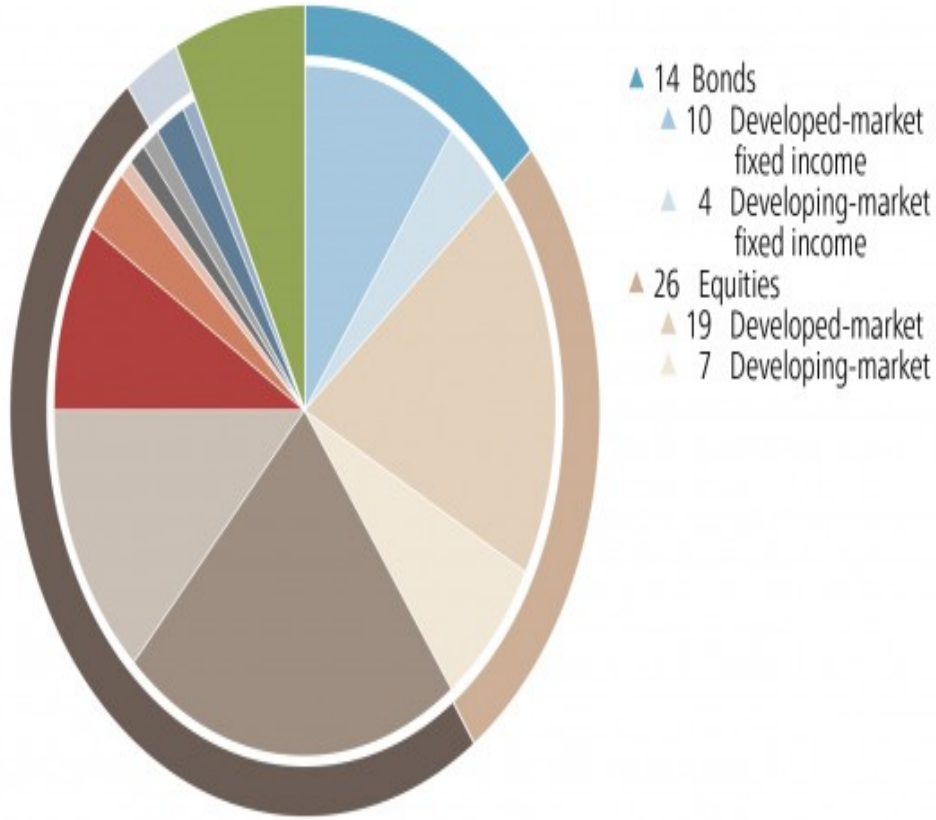
Family office investment strategies generally fall into three broad categories:

- **Third-party managed** – using asset management funds to invest their capital.
- **Public direct** – centering on liquid debt, equity securities, and derivatives that trade over a public exchange.
- **Private direct** – focusing on taking a more active role in the deal process and underlying investment.

Family offices use a mix of these strategies and also active investors in alternative investments – like art, farmland, yachts, etc.

FAMILY OFFICES – INVESTMENT STRATEGY

Fig. 1.1: Average family office portfolio
in % of global composite portfolio*



*46% non-liquid assets. Due to rounding, totals do not add up to 100%.

SOURCE: THE UBS/CAMPDEN WEALTH GLOBAL FAMILY OFFICE REPORT 2015.

Diversify their assets very broadly

Invest on a more long-term basis

Pursue wealth preservation

Pass on assets to the next generations

FAMILY OFFICES – RANGE OF SERVICES

General service provided to the families falls into the following categories:

- **Family Professional Services** like family governance, succession planning, support new businesses, concierge services and security, family counseling, management of high-value physical assets (like aircraft), education planning, etc.
- **Administrative activities** like accounting, bookkeeping, managing contracts, IT cost, mail sorting, etc.
- **General advisory services** like financial planning, tax planning, trust management, legal services, insurance planning, estate planning.
- **Investment-related activities** like asset allocation, investments, financial accounting and reporting, alternative investments, risk management, custody, private banking, philanthropy, etc.

Life management and budgeting	**Risk management**	**Succession planning**
Philanthropic management		**Business and financial advisory**
Training and education		**Estate and wealth transfer**
Reporting and record keeping	**Tax and legal advisory**	**Administrative services or back-office services**

Ex: Soros Fund Management LLC – owned by George Soros



Institutional Investors

THE CHARACTERISTICS OF INSTITUTIONAL INVESTORS

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It is always a legal entity

Manages a significant number of funds

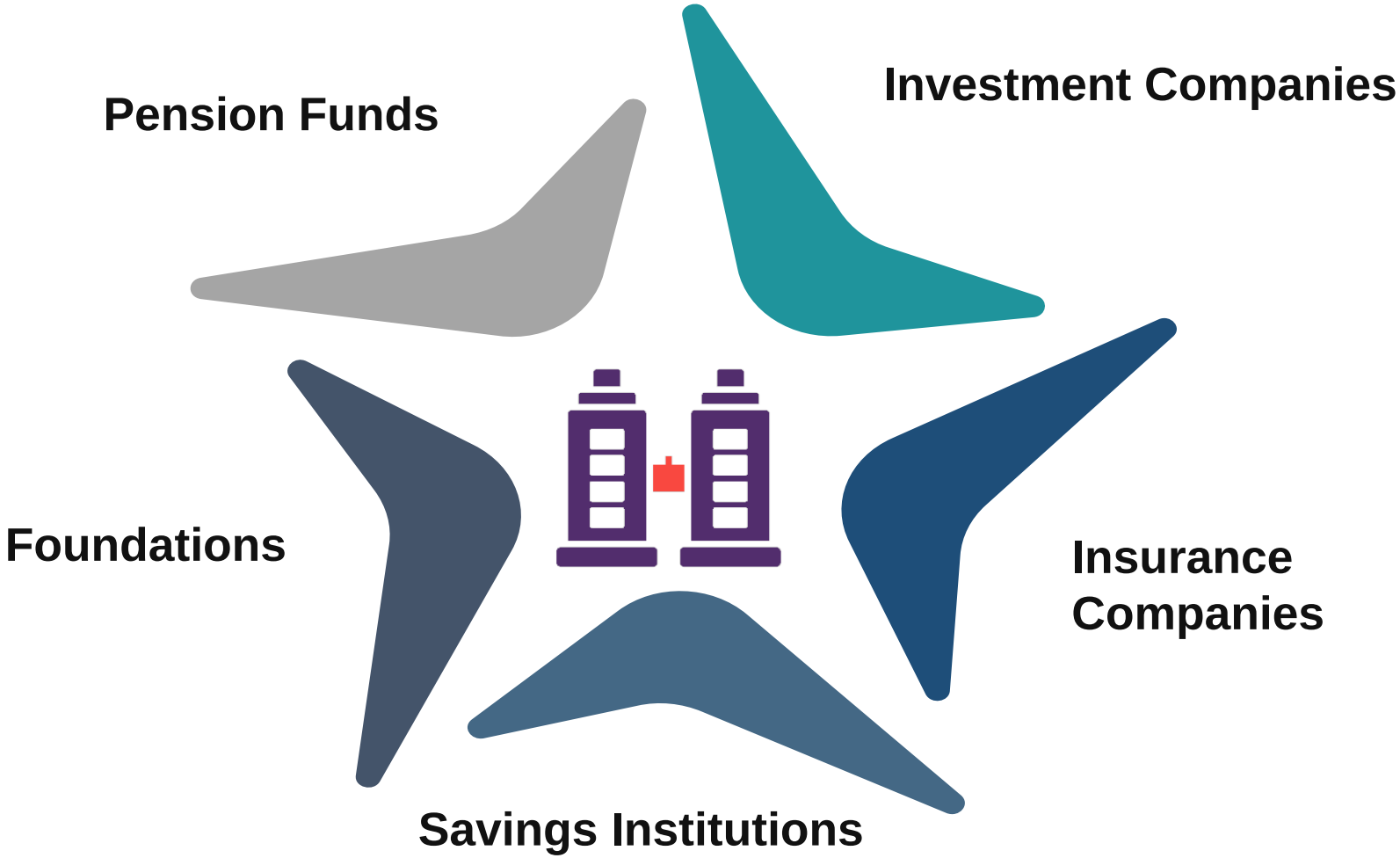
Access to a variety of investment instruments



Institutional investor's activity is professional

Exerts a large influence on the price dynamics of different financial instruments

WHO IS AN INSTITUTIONAL INVESTOR?



WHO IS AN INSTITUTIONAL INVESTOR?

An institutional investor is an organization or company that pools funds from several sources – individual investors or other entities – and invests them in different market securities on their behalf.

Institutions that have money managed include:

- **Pensions – state, public and private**
- **Insurers**
- **Investment companies – managed via a third party where fees are split**
- **Non-profit organizations (Red Cross, World Vision)**
- **Endowments (Harvard/Yale/Princeton) and corporates.**

The largest funds tend to state investment funds or sovereign wealth funds and pensions. These funds have a mandate to ensure their beneficiaries will be able to receive fixed payments over a certain period.

INSURANCE COMPANIES

These institutions employ the premium they receive from policyholders into securities. Since the aggregate of premiums is considerable, their investments are also sizable. The returns insurance companies receive from trading are deployed to pay for claims.







ENDOWMENT FUNDS (FOUNDATIONS)

Endowment funds are set up by foundations where the administrative/executive entity utilizes the funds for its cause. Typically, schools, universities, hospitals, charitable organizations, etc. establish these funds.







PENSION FUNDS





Pension funds are investment pools that pay for workers' retirements. Funds are paid for by either employee, employers, or both. Corporations and all levels of government provide pensions.

SAVINGS INSTITUTIONS





Sometimes called thrift institutions, they are banks that serve a local community. They take the deposits of residents and lend the money back in the form of consumer loans, mortgages, and small business loans.

INVESTMENT COMPANY



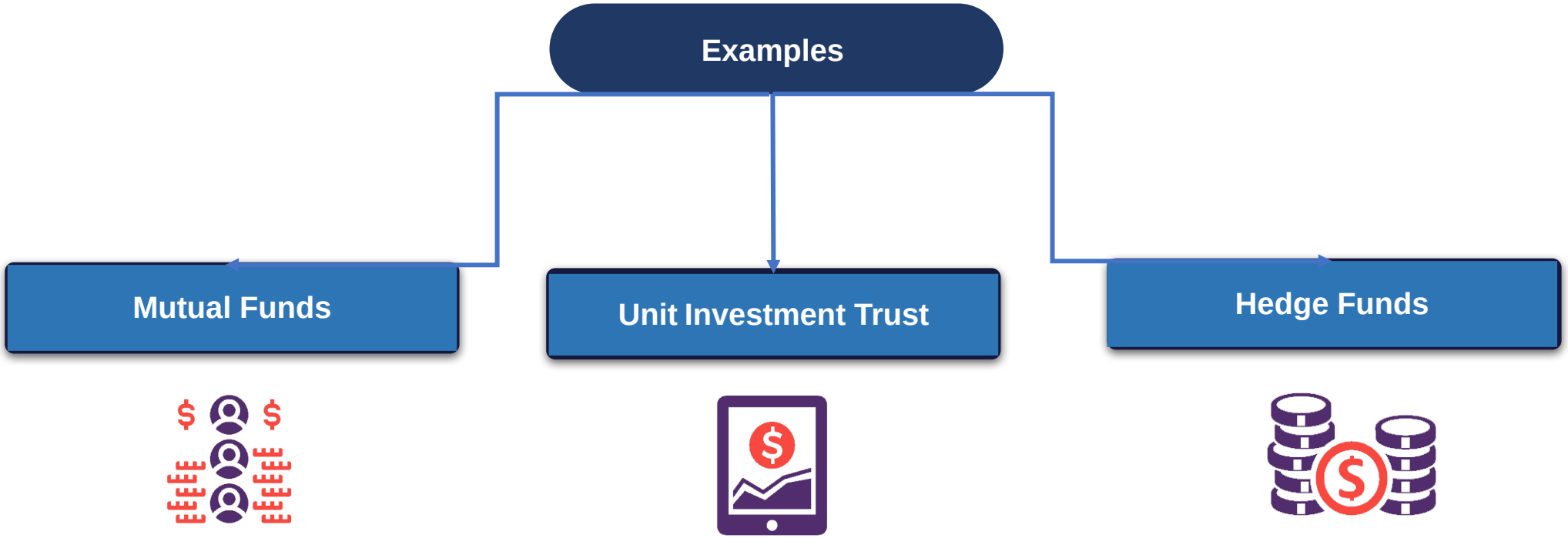




An investment company is a corporation or trust engaged in the business of investing the pooled capital of investors in financial securities.

INVESTMENT COMPANY (CONTD.)

In the U.S., most investment companies are registered with and regulated by the Securities and Exchange Commission (SEC). Under the Investment Company Act of Investment, companies can be privately or publicly owned, and they engage in the management, sale, and marketing of investment products to the public.



CHARACTERISTICS OF INSTITUTIONAL INVESTORS – SUMMARY

Investment Institutions	Description
Insurance Companies	These institutions employ the premium they receive from policyholders into securities. Since the aggregate of premiums is considerable, their investments are also sizable. The returns insurance companies receive from trading are deployed to pay for claims.
Endowment Funds (Foundations)	Endowment funds are set up by foundations where the administrative/executive entity utilizes the funds for its cause. Typically, schools, universities, hospitals, charitable organizations, etc. establish these funds.
Pension Funds	Pension funds are investment pools that pay for workers' retirements. Funds are paid for by either employee, employers, or both. Corporations and all levels of government provide pensions.
Savings Institutions	Sometimes called thrift institutions, they are banks that serve a local community. They take the deposits of residents and lend the money back in the form of consumer loans, mortgages, and small business loans.
Investment Company	An investment company is a corporation or trust engaged in the business of investing the pooled capital of investors in financial securities.

FUND INVESTOR AND INVESTMENT MANDATE

A fund or a collective scheme takes a mandate from the pool of investors. Most often the mandate or objective of the fund is defined by the fund itself in the form of a prospectus. Based on the goals, the investors choose and invest in a fund that meets their objectives.

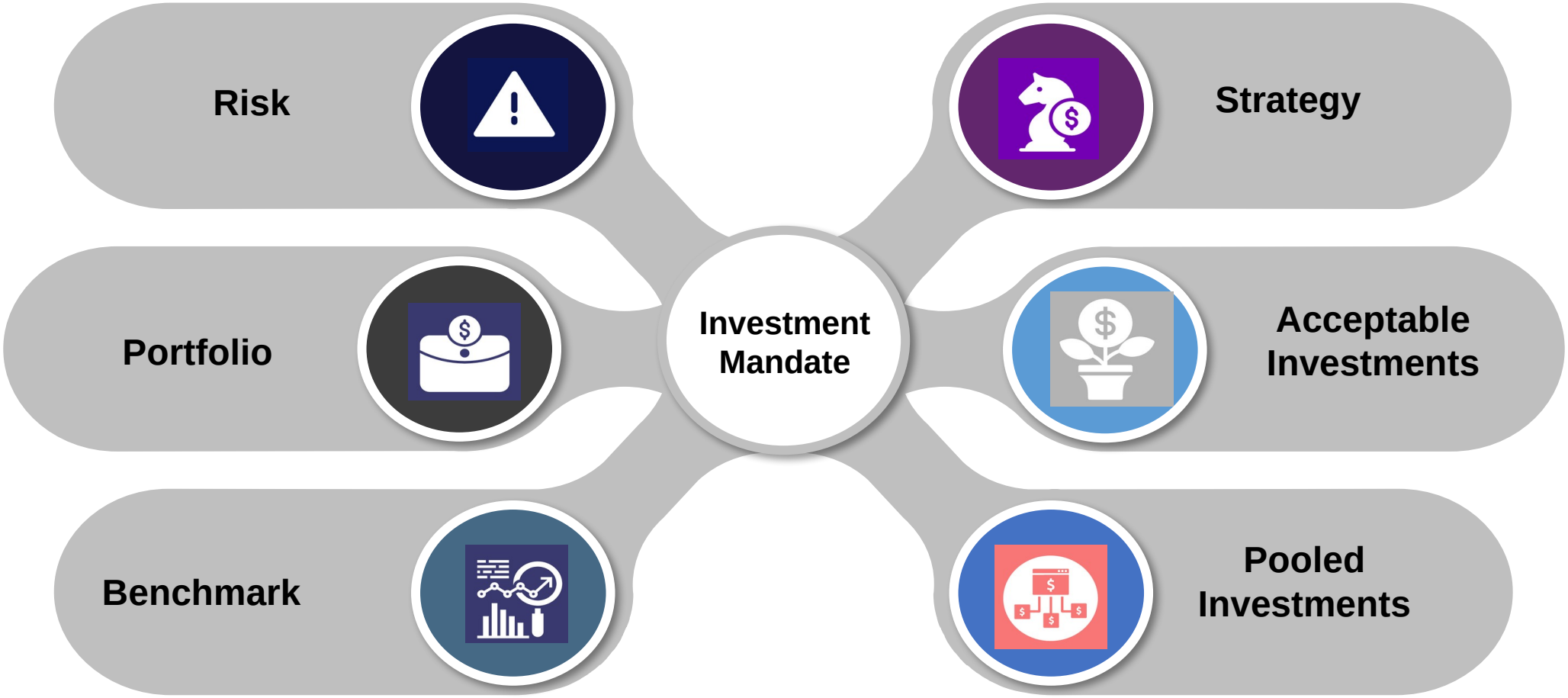
An **investment mandate** is a set of instructions laying out how a pool of assets should be invested. The **mandate** sets out parameters and guidelines for how the money can be invested, which informs the decisions of an **investment** manager.
Mandates exist to ensure investment managers abide by the desired strategy and stay within specific risk parameters.

This is accomplished by providing instructions on items, including

- The portfolio's priorities and goals,
- The benchmarks to be used, and
- Any specific investments or types of investments that should be either included or avoided

The purpose of an investment mandate for pooled capital investments is to ensure all parties remain on the same page - investors, potential investors, and the investment manager. And there is no confusion on the portfolio's goal, the level of risk, the types of investments included in the portfolio, etc.

FUND INVESTOR AND INVESTMENT MANDATE



INVESTMENT (FUND) MANAGERS

- The term fund manager, or investment adviser in the United States, refers to both a firm that provides investment management services and to the individual who directs fund management decisions

- The largest financial fund managers in the market are firms that exhibit all the complexity their size demands.

- Apart from the people who bring in the money (marketers) and the people who direct investment (the fund managers),

  - There are compliance staff (to ensure accordance with legislative and regulatory constraints),
  - Internal auditors of various kinds (to examine internal systems and controls),
  - Financial controllers (to account for the institutions' own money and costs), computer experts, and
  - 'Back office' employees (to track and record transactions and fund valuations for up to thousands of clients per institution).



Asset Management Companies – AMC

Black Rock

BlackRock Inc

1. By some measures the biggest investment management company across the globe, with more than $11 + trillion in assets under management (AUM)

2. A Publicly traded company with a market capitalization of about $112.3 billion,

3. BlackRock provides investment and technology services to both institutional and retail clients around the world.
   The firm offers a variety of funds and portfolios investing in vehicles such as equities, money market instruments, and fixed income.

4. BlackRock is the parent company for the iShares group of ETFs, the largest global provider of ETFs.



Asset Management Companies – AMC

Vanguard

Vanguard

1. Vanguard is one of the world's most respected investment management companies, offering a broad selection of investments, advice, retirement services, and insights to individual investors, institutions, and financial professionals.

2. In addition to mutual funds and ETFs, Vanguard offers brokerage services, educational account services, financial planning, asset management, and trust services.

3.

Revenue	**US$6.936 billion** (2020)
AUM	US$8.1 trillion (2022)

Asset Management Companies – AMC

PIMCO

PIMCO

- PIMCO is an American investment management firm focusing on active fixed income management worldwide. PIMCO manages investments in many asset classes such as fixed income, equities, commodities, asset allocation, ETFs, hedge funds, and private equity

- **Assets under management:** 2 lakh crores USD (March 31, 2022)
  Headquarters: Newport Beach, California, United States
  Founder: Bill H. Gross
  Founded: 1971, Newport Beach, California, United States

-





Mutual Funds

COLLECTIVE INVESTMENT SCHEMES

Collective Investment Schemes (collective investment institutions) are more frequently known as ‘investment funds’, ‘mutual funds’ or simply ‘funds’.

- A CIS is an investment vehicle used by investment managers to pool investors money together so they are able to access investments which they might not be able to access in their individual capacity

- Through a CIS an investor can invest in a number of different assets and funds such as shares and bonds One of the main draw cards of a CIS is that investors get to share the risks associated with the stock market, the same is true for the benefits



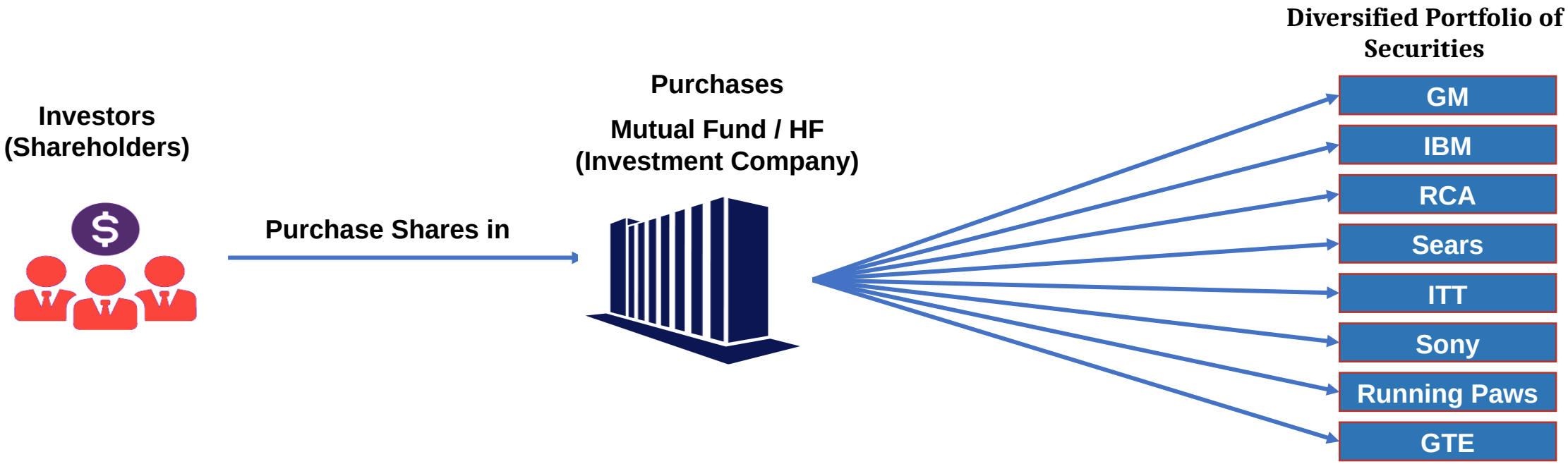
Invest in assets, such as bonds, equities, or cash.



Collective assets owned by the fund are called a portfolio and managed by a professional fund manager

COLLECTIVE INVESTMENT SCHEME (CIS)

- The money is pooled together with that of other investors and spread over the whole range of assets within the fund.
- The pooling of money should meet certain criteria with an investment firm, managed by a professional investment manager, and with a specific objective.



Pooling of Money

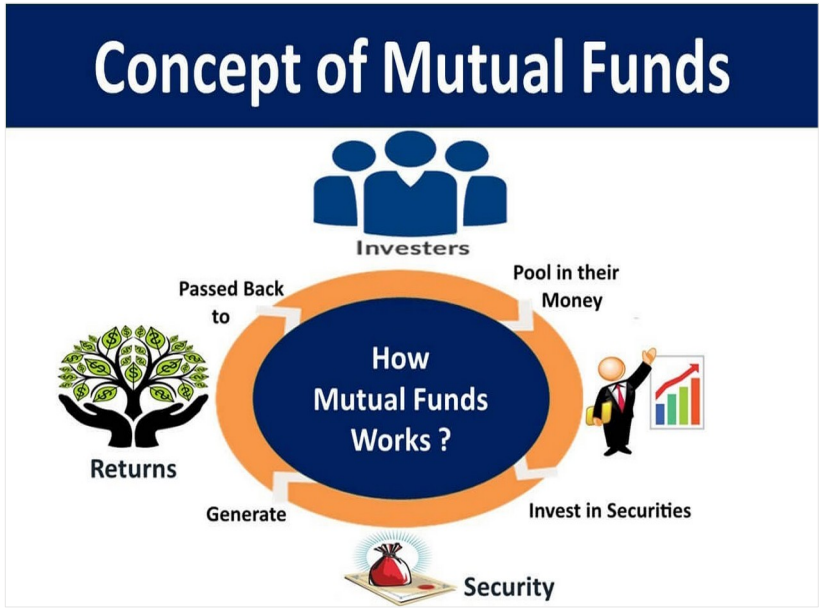
Managed by Professional Investor

With an Investment Firm

With a Specific Objective

COLLECTIVE INVESTMENT SCHEME (CIS)

- **A Mutual Fund (MF)** is an investment company combining funds of investors who have purchased shares in a diversified portfolio of securities. Mutual funds offer different kinds of schemes. Every scheme has a pre-announced investment objective. When investors invest in a mutual fund scheme, they are effectively buying into its investment objective.
- Investors typically earn a return from a mutual fund through Dividend Distribution. Dividends are either received as cash or reinvested as additional units. If fund holdings increase in price but are not sold by the fund manager, the fund's shares increase in price. You can then sell your mutual fund shares for a profit in the market.
- The mutual funds can be open ended or close ended and may be listed in the exchanges. If it is a listed mutual funds, investors can sell and buy the units / shares through an exchange.

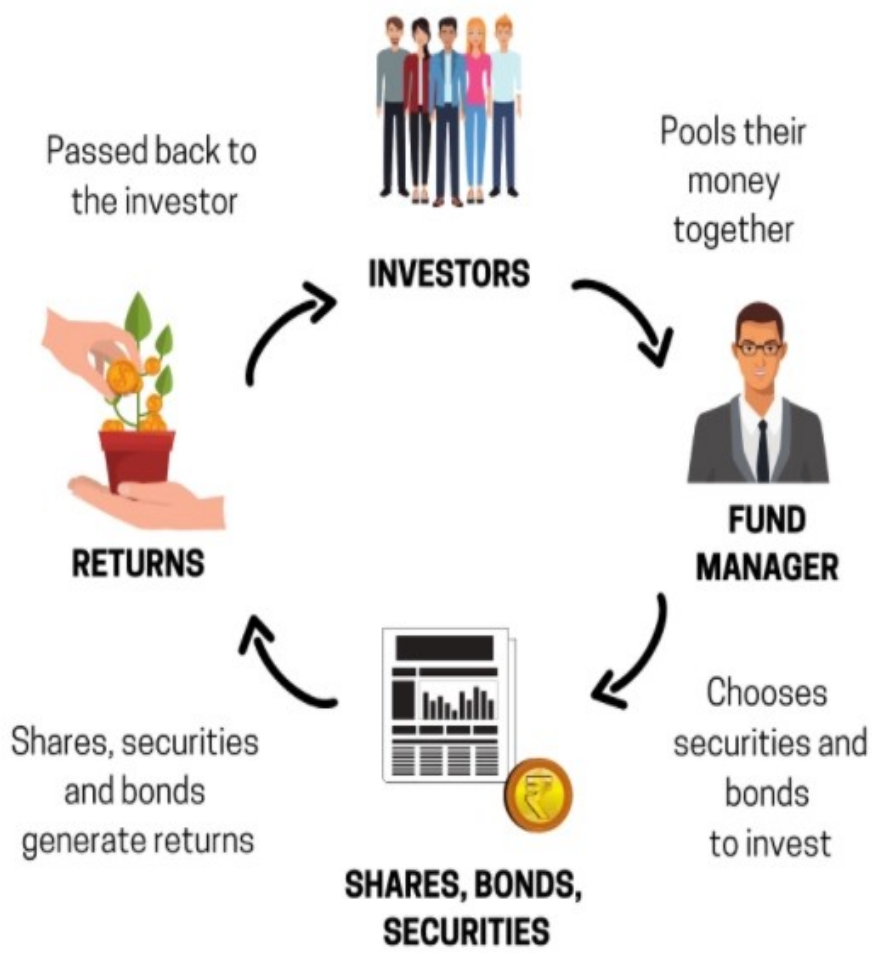


Mutual Funds
Issues shares or units, purchased by investors.
The subscriptions collected are invested in different types of asset (non-financial as well as financial).
Investors may receive either regular income or, at redemption, holding gains (or losses) or a combination of both.
Open-ended or closed-ended and shares/units can be quoted or unquoted

HOW MUTUAL FUNDS WORK

How Mutual Funds Work

- Mutual funds pool money from many investors to buy a variety of securities, such as stocks, bonds, and money market instruments.
- The fund manager is responsible for selecting the securities that the fund will invest in.
- The fund's performance is measured by its net asset value (NAV), which is the total value of the fund's assets divided by the number of shares outstanding.
- Investors can buy and sell shares of the fund at the NAV.
- The fund charges fees to cover its expenses, such as management fees and marketing fees.



WHO CAN INVEST IN MUTUAL FUNDS?

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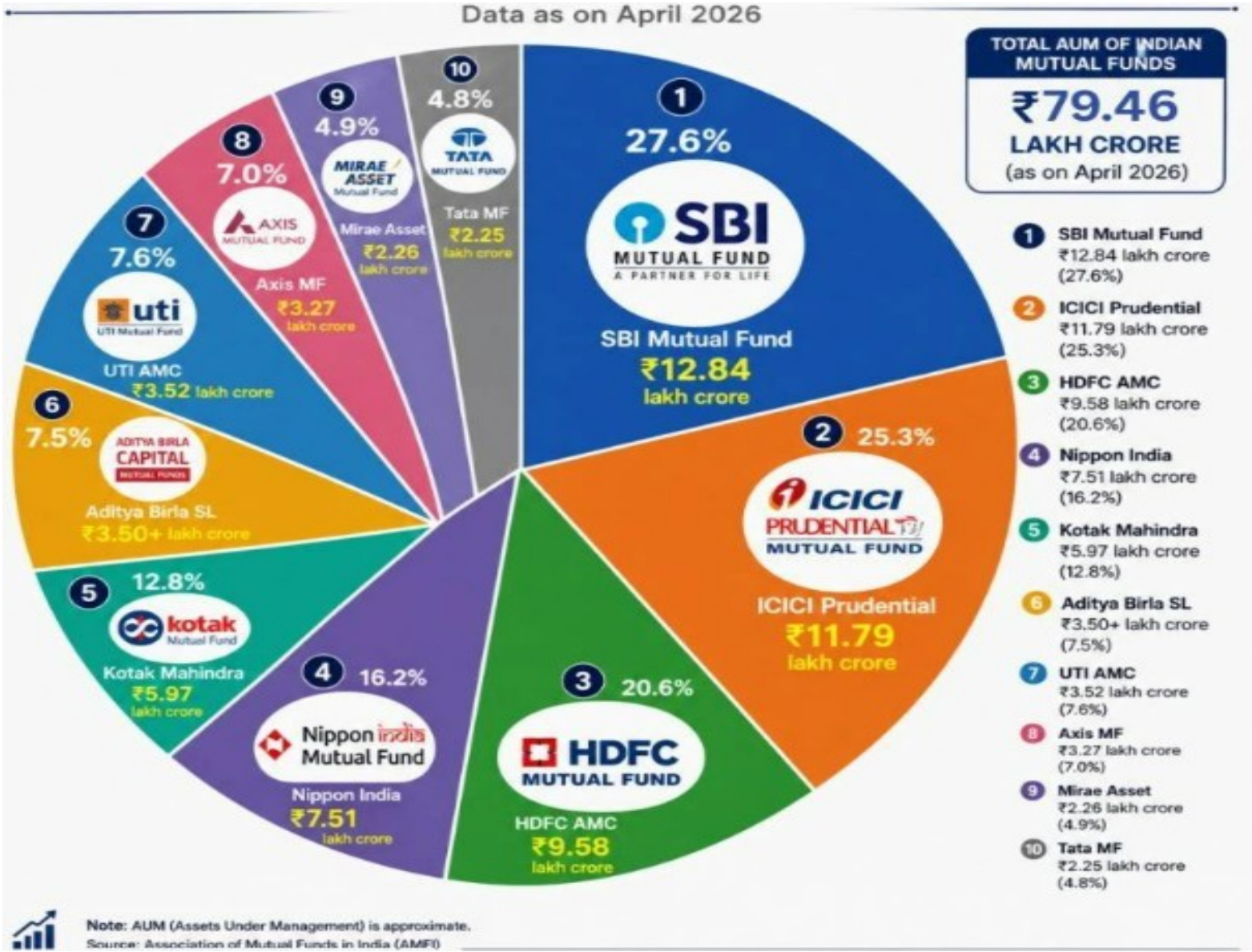


BENEFITS OF MUTUAL FUNDS INVESTMENTS

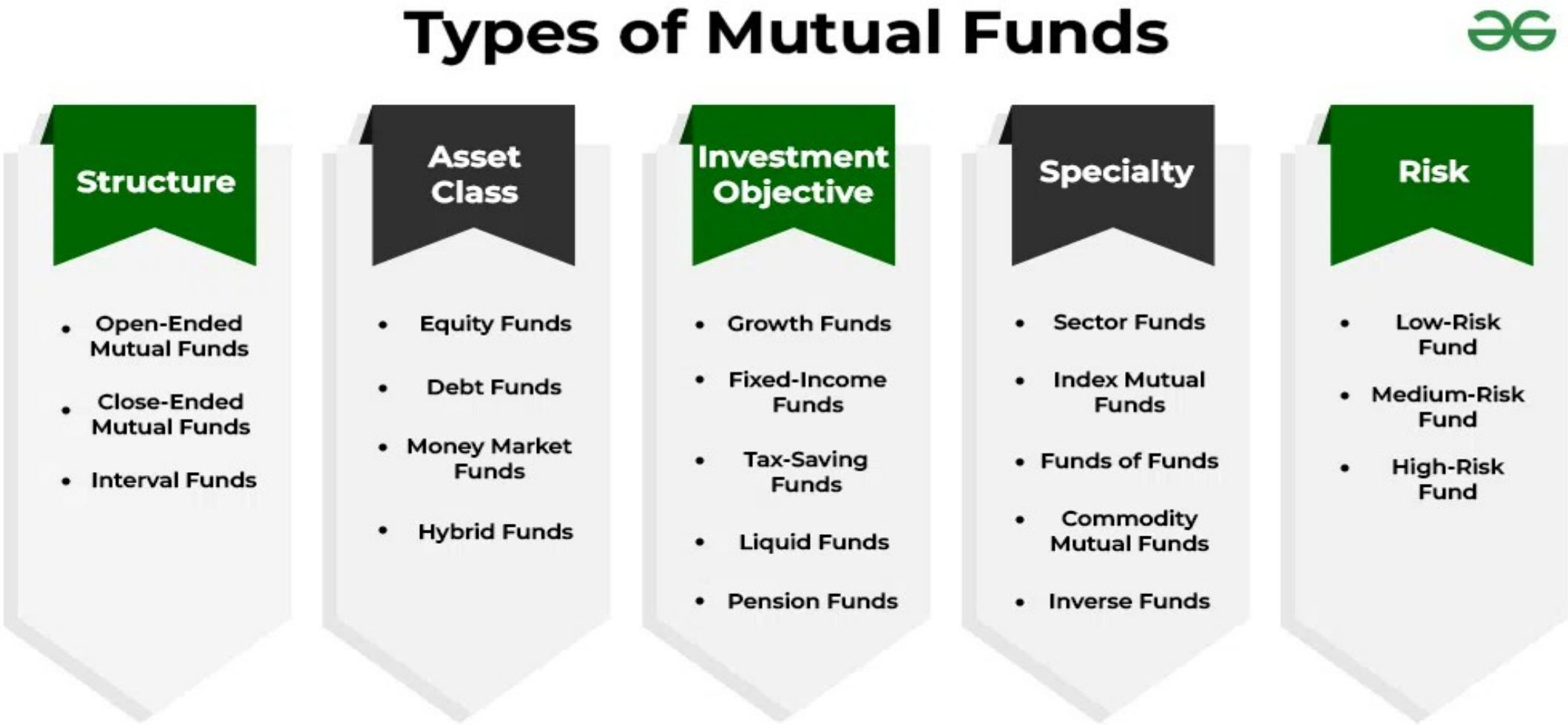
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- **Diversification**
- **Professional Management**
- **Accessibility**
- **Liquidity**
- **Convenience of Investment - Lumpsum/SIP/ STP/SWP**
- **Variety**
- **Lower Entry Barrier**
- **Cost Efficiency**
- **Regulatory Oversight**
- **Customization**
- **Dividend Reinvestment**
- **Tax Efficiency**
- **Long-Term Focus**
- **Market Exposure**

Rank	Company	Approximate Total AUM	Primary Fund Brands
1	BlackRock	$14.0 trillion	iShares ETFs, BlackRock Funds
2	Vanguard	$12.0 trillion	Vanguard mutual funds and ETFs
3	Fidelity Investments	$7.1 trillion	Fidelity funds, managed by Geode Capital (index)
4	State Street Global Advisors	$5.7 trillion	SPDR ETFs
5	J.P. Morgan Asset Management	$4.8 trillion	JPMorgan funds
6	Goldman Sachs Asset Management	$3.6 trillion	Goldman Sachs funds
7	Capital Group	$3.0 trillion	American Funds
8	Invesco	$2.2 trillion	Invesco funds, QQQ ETF


Data as on April 2026
TOTAL AUM OF INDIAN MUTUAL FUNDS
₹79.46
LAKH CRORE
(as on April 2026)
1 SBI Mutual Fund ₹12.84 lakh crore (27.6%)
2 ICICI Prudential ₹11.79 lakh crore (25.3%)
3 HDFC AMC ₹9.58 lakh crore (20.6%)
4 Nippon India ₹7.51 lakh crore (16.2%)
5 Kotak Mahindra ₹5.97 lakh crore (12.8%)
6 Aditya Birla SL ₹3.50+ lakh crore (7.5%)
7 UTI AMC ₹3.52 lakh crore (7.6%)
8 Axis MF ₹3.27 lakh crore (7.0%)
9 Mirae Asset ₹2.26 lakh crore (4.9%)
10 Tata MF ₹2.25 lakh crore (4.8%)
SBI Mutual Fund ₹12.84 lakh crore
27.6%
ICICI Prudential ₹11.79 lakh crore
25.3%
HDFC AMC ₹9.58 lakh crore
20.6%
Nippon India ₹7.51 lakh crore
16.2%
Kotak Mahindra ₹5.97 lakh crore
12.8%
Aditya Birla SL ₹3.50+ lakh crore
7.5%
UTI AMC ₹3.52 lakh crore
7.6%
Axis MF ₹3.27 lakh crore
7.0%
Mirae Asset ₹2.26 lakh crore
4.9%
Tata MF ₹2.25 lakh crore
4.8%
Note: AUM (Assets Under Management) is approximate.
Source: Association of Mutual Funds in India (AMFI)

TYPES OF MUTUAL FUNDS



TYPES OF MUTUAL FUNDS

Open ended	Close ended
● A collective investment scheme where in investors can issue and redeem shares at any time. ● Can issue and redeem units any time during the life of the scheme. ● The number of outstanding shares can vary from day to day.	● A collective investment scheme where in investors can only enter the fund but not exit in case they want to sell their investment they will have to sell it to the investors within the fund. ● Cannot issue new units except in case of bonus or rights issue. ● Shares are fixed in number.

MUTUAL FUND TYPES BASED ON ASSET CLASS & INVESTMENT GOALS

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Mutual Fund Types Based on Asset Class

- Equity Funds
- Debt Funds
- Money Market Funds
- Hybrid Funds

Mutual Fund Types Based on Investment Goals

- Growth Funds
- Income Funds
- Liquid Funds
- Tax-Saving Funds
- Aggressive Growth Funds
- Capital Protection Funds
- Fixed Maturity Funds
- Pension Funds

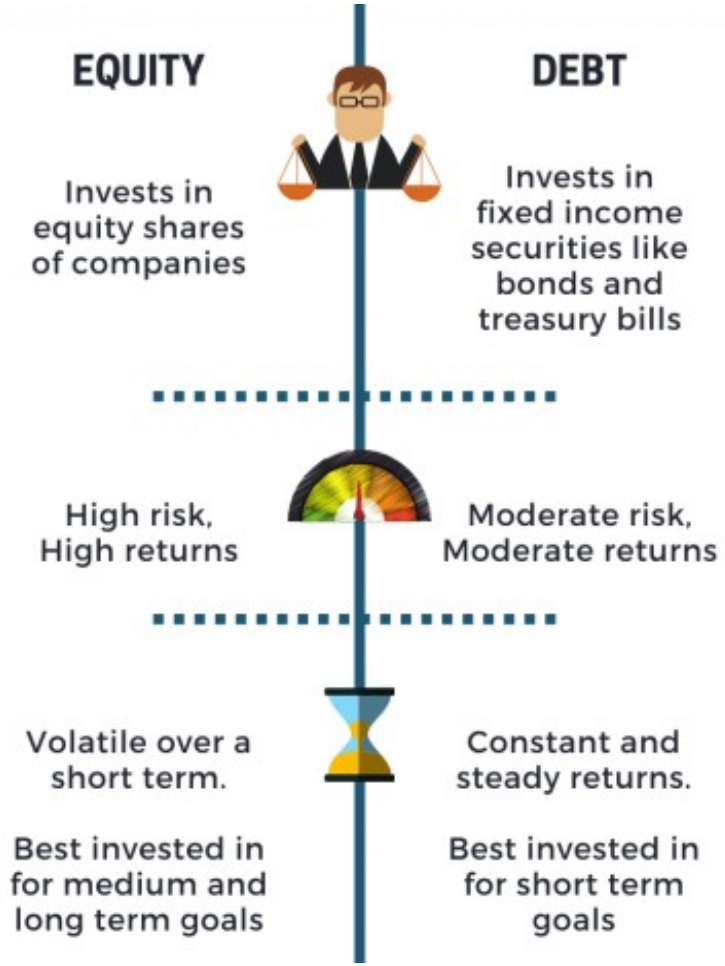
TYPES OF MUTUAL FUNDS BASED ON ASSET CLASSES

1. Equity Funds

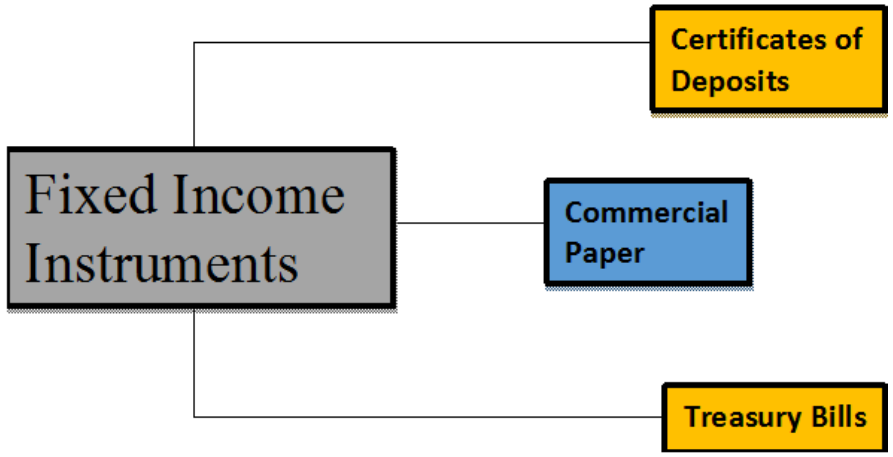
- Invest in stocks of various companies
- Aim for long-term capital appreciation
- Subtypes: large-cap, sector, index, growth
- Higher risk and return potential

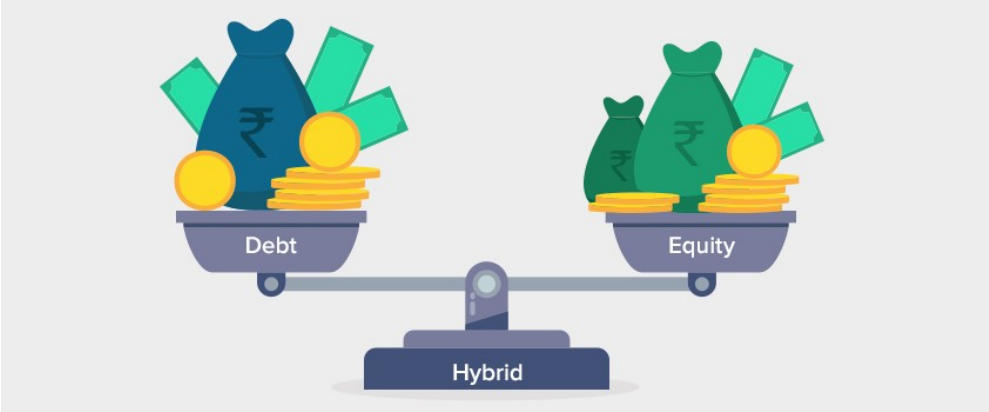
2. Debt Funds

- Invest in fixed-income securities like bonds
- Focus on regular income and capital preservation
- Subtypes: liquid, gilt, corporate bond, dynamic bond
- Lower risk and return potential



TYPES OF MUTUAL FUNDS BASED ON ASSET CLASSES





3. Money Market Funds

- Invest in short-term debt instruments
- Provide liquidity and safety of principal
- Suitable for idle cash or short-term investment
- Lowest risk and return potential

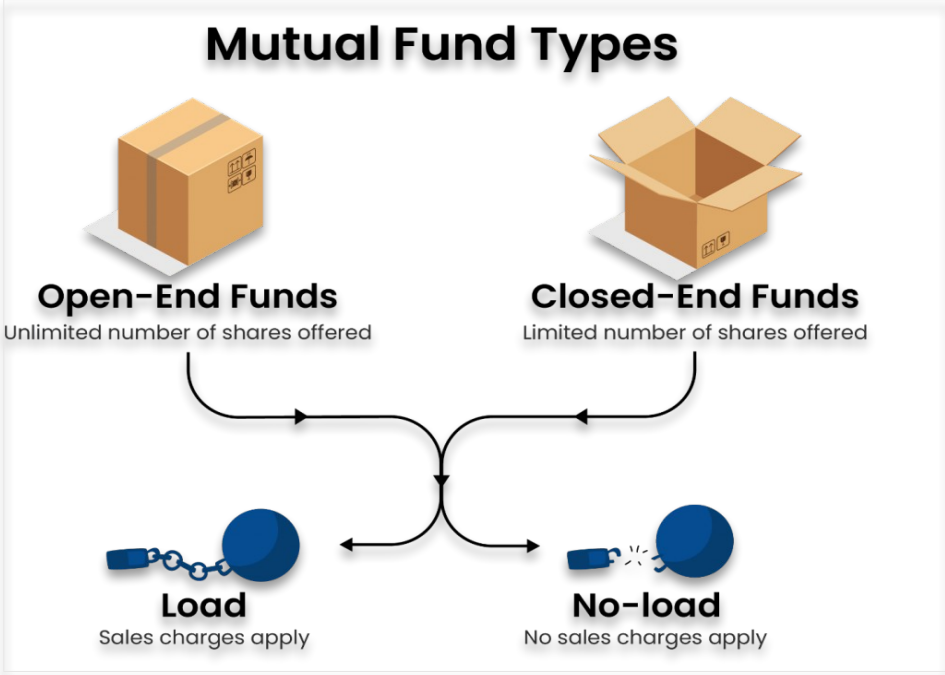
4. Hybrid Funds

- Invest in mix of equity and debt securities
- Balance growth and income objectives
- Subtypes: balanced, aggressive hybrid, conservative hybrid
- Moderate risk and return potential

MUTUAL FUND

Mutual Fund Types Based on Structure

- Open-Ended Funds
- Closed-Ended Funds



Mutual Fund Types Based on Risk

- Very Low-Risk Funds
- Low-Risk Funds
- Medium-Risk Funds
- High-Risk Funds



SPECIALIZED MUTUAL FUND TYPES

IMARTICUS LEARNING

- Sector Funds
- Index Funds
- Funds of Funds
- Emerging Market Funds
- Real Estate Funds
- Commodity-focused Stock Funds
- Market Neutral Funds
- Leveraged Funds
- Asset Allocation Funds
- Exchange-Traded Funds

COST AND FEES OF MUTUAL FUNDS

IMARTICUS LEARNING

Mutual funds charge a variety of fees, which can reduce your returns. Some of the most common fees include:

Management Fees

Management fees are paid to the fund manager for managing the fund. These fees are typically a percentage of the fund's assets.

Distribution Fees

Distribution fees are paid to the fund company for marketing and distributing the fund. These fees are typically a percentage of the fund's distributions.

Other Fees

Mutual funds may also charge other Expenses/fees, such as Operating Costs - Custodian/Fund Admin/RTA/Audit/Legal Fees.

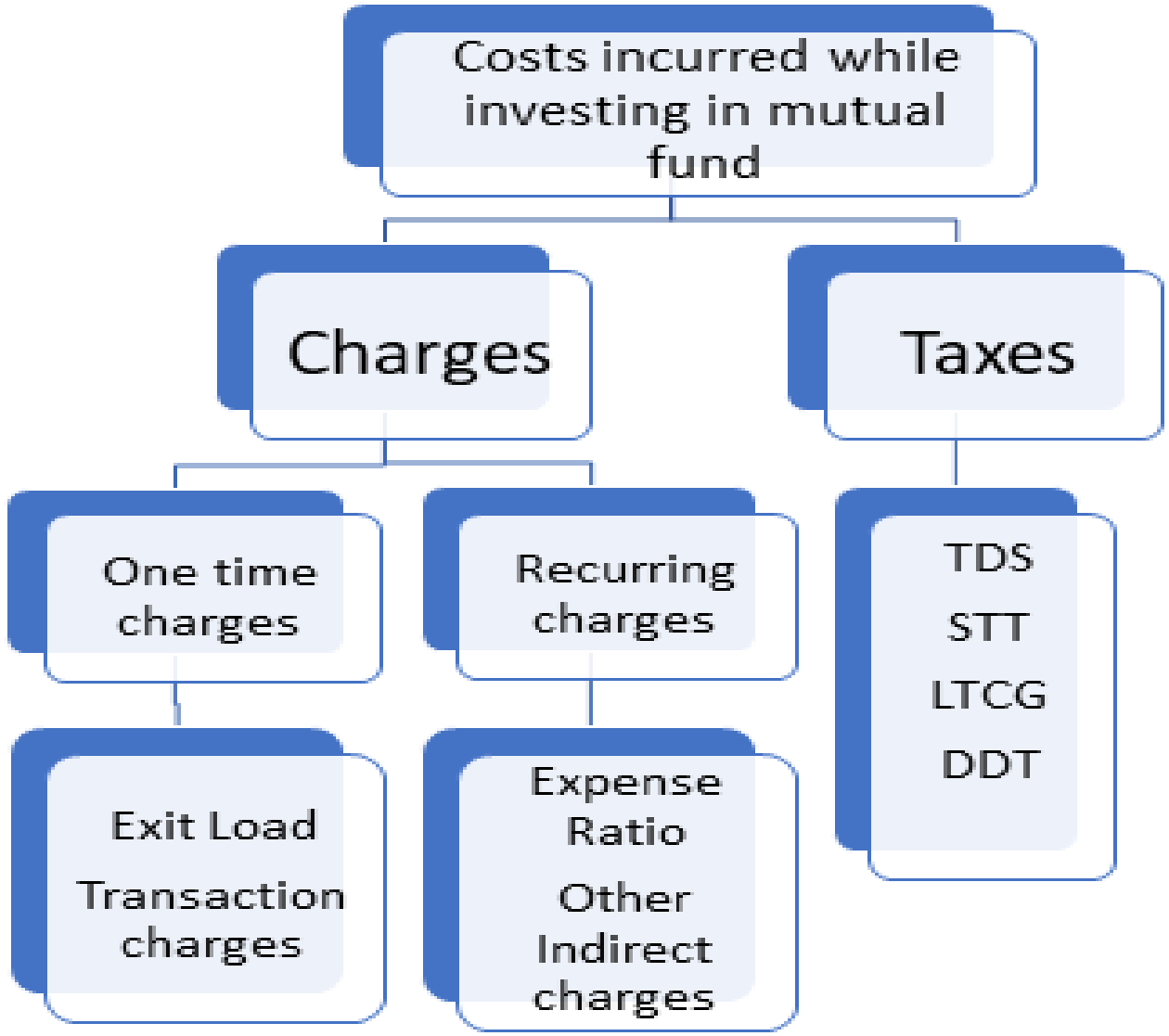
Entry Load Charges

These charges are levied on the Investors during the Subscriptions.

Exit Load Charges

These charges are levied on the Investors during the Redemption of Funds.

COST AND FEES OF MUTUAL FUNDS



RETURNS IN MUTUAL FUNDS

IMARTICUS LEARNING

1. **Appreciation in the fund's NAV:** When the fund's investments increase in price, the NAV of the fund will also increase. This means that the value of each share of the fund will increase.

2. **Income earned from dividends or interest:** If the fund invests in stocks that pay dividends or bonds that pay interest, the fund will earn income from these investments. This income will be distributed to the shareholders of the fund.

3. **Capital gains:** If the fund sells investments that have increased in price, it will realize capital gains. These capital gains will be distributed to the shareholders of the fund.

RISKS IN MUTUAL FUNDS

1. Market Risk (Systematic Risk)

- Fluctuations in securities' value due to market factors.
- Influenced by economic conditions, political events, etc.
- Cannot be eliminated by diversification.

2. Liquidity Risk

- Difficulty selling units quickly at market price.
- Higher for illiquid securities or lock-in periods.
- Choose funds with high trading volume and no exit load.

3. Credit Risk

- Default or downgrade of issuer affects returns.
- Applicable for debt funds with fixed-income securities.
- Opt for funds with high-quality, diversified securities.

RISKS IN MUTUAL FUNDS

4. Interest Rate Risk

- Changes in interest rates impact fixed-income security prices.
- More relevant for funds with long-term securities.
- Mitigate risk by selecting short-term or floating-rate securities.

5. Concentration Risk

- Poor performance of specific securities, sectors, or themes.
- Limited diversification leads to higher volatility.
- Opt for funds with broad diversification across sectors.

6. Currency Risk

- Fluctuations in exchange rates affect foreign investments.
- Pertinent for funds with foreign securities or assets.
- Consider funds with currency hedging strategies.

DIFFERENT WAYS TO MEASURE MUTUAL FUND PERFORMANCE

Net asset value (NAV)	Return	Benchmark	Beta
The NAV is the total value of a mutual fund's assets divided by the number of shares outstanding. The NAV is the price that investors pay to buy shares of the fund and the price that they receive when they sell shares of the fund.	The return of a mutual fund is the percentage change in the NAV over a specified period of time. For example, if the NAV of a mutual fund increases from Rs 20 to Rs 22 over a year, the return of the fund is 10%.	A benchmark is a market index that is used to compare the performance of a mutual fund. For example, a mutual fund that invests in stocks might be compared to the S&P 500 index/NIFTY Index	Beta is a measure of a mutual fund's volatility relative to its benchmark. A beta of 1 means that the fund is as volatile as its benchmark, while a beta of greater than 1 means that the fund is more volatile than its benchmark.

SUITABILITY FACTORS ANALYSIS - INVESTING IN MUTUAL FUNDS

I. **Investment goals:** Retirement / Child's education / House Purchase, Investment goals will help determine the right type of mutual fund.

II. **Investor's Risk Tolerance**: Mutual Funds can be risky, especially if they invest in Equity Stocks. If you are not comfortable with risk, you may want to consider a mutual fund that invests in bonds or money market instruments.

III. **Time Horizon:** Mutual funds that invest in stocks are generally considered to be long-term investments. If Investors need the money in the short term, they should consider a mutual fund that invests in bonds or money market instruments.

IV. **Investors' investment knowledge:** . A professional fund manager will have the experience and expertise to help in selecting the right mutual funds based on the Investor's needs.

V. **The fees associated with the mutual fund:** Mutual funds charge fees, which can reduce the returns & hence requires comparison the fees of different mutual funds before invest.

VI. **The performance of the mutual fund:** How has the mutual fund performed in the past? This is not a guarantee of future performance, but it can give an idea of how the fund is likely to perform in the future



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